

The Waterfront Brief

Weekly sustainment intelligence for naval shipyard leadership · For middle and senior shipyard management

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Two threads run through this week, and both come back to the same shortage of skilled labor and dock time. On the building side, Congress moved to block foreign-built warships while opening a narrow lane for allied-built auxiliaries, and a venture-backed newcomer broke ground on what it calls the country's largest shipyard. On the sustainment side, the bill for a hard-run fleet is coming due: the carrier Gerald R. Ford is in the yard after a record Middle East deployment, the Navy is warning of a summer funding crunch, and a new study says the yards could not repair a battle-damaged fleet in a real war. Scope: US shipbuilding, US Navy sustainment, and INDOPACOM partners. Labels: FACT is attributed to the named source in the same sentence; Assessment is this desk's read; Speculation is flagged.

WATERFRONT OPS & PRODUCTION

The country's largest shipyard, if it gets built: Saronic breaks ground in Brownsville

FACT: per USNI News (July 16, 2026), autonomous-boat builder Saronic Technologies has picked an 835-acre site in the Port of Brownsville, Texas, for a \$3.2 billion greenfield shipyard it calls Port Alpha, after Cameron County approved a 95 percent, 19-year tax abatement. FACT: CEO Dino Mavrookas told reporters the site could employ up to 10,000 people over ten years across commercial and defense work, with construction starting this year, the yard ready to build in 2028, and capacity for ships up to 850 feet, about the size of a Wasp-class amphibious ship; a much larger phase-two build-out would, he said, make it the largest shipyard in the US and one of the largest in the world. FACT: it is Saronic's third site, after a central-Texas plant building 25-foot Corsair autonomous boats and a former Gulf Craft yard in Louisiana for its Marauder unmanned surface vessel, and the Navy has bought about \$350 million in small vessels from the company.

Assessment: the story is not the dollar figure, it is a venture-funded newcomer with an autonomy-

first design philosophy proposing the largest US yard on a site that today hosts most of the country's ship-breaking. It signals where industrial-base growth is coming from, and it raises a fair question about whether greenfield capacity can actually stand up on a 2028 timeline.

Bottom line: Watch the 2028 build-ready date and the first hiring wave as the real tests; a tax abatement and a rendering are the easy part of standing up a yard from bare dirt.

Sources: USNI News, Jul 16, 2026; Naval News, Jul 2026

Deckplate: the trades problem is a pay-and-retention problem, not just a hiring one

FACT: in a report released September 3, 2025 (GAO-25-107152), GAO found that the Defense Department relies on its Federal Wage System (FWS) blue-collar workforce to maintain and repair equipment, and that a pay-adjustment cap set by Congress on those wage rates "may have contributed to" recruitment and retention problems by holding federal pay below local market rates. FACT: officials at Norfolk Naval Shipyard, one of GAO's site visits, reported trouble recruiting and keeping these workers, including direct competition with private yards for skilled labor and a long federal onboarding process. FACT: separately, GAO's April 22, 2026 shipbuilding testimony (GAO-26-109068) lists "increasing shipbuilder workforce wages" among the fixes officials themselves propose.

Assessment: the whole issue this week is about adding capacity, and this is the constraint underneath it. The best-supported finding in expertise research (Ericsson's work on deliberate practice) is that trade proficiency takes years of coached practice, so a journeyman lost to a higher-paying private yard is not a one-for-one replacement, it is years of accumulated skill walking out the door. A pay cap that holds public-yard wages below the very yards you compete with turns every trained hand into a flight risk.

Bottom line: Treat retention and pay flexibility as first-order levers, not afterthoughts; recruiting hard to a hiring target while bleeding trained trades to a wage gap just spins the treadmill faster.

Sources: GAO-25-107152, Sep 3, 2025; GAO-26-109068, Apr 22, 2026; framing from Ericsson et al., “The Making of an Expert” (HBR 2007), Assessment-level.

MAINTENANCE ENGINEERING & TECHNOLOGIES

Research radar: digital twins as the quality path for additive parts

FACT: a systematic review posted to arXiv (Ahsan and colleagues, “Digital Twins in Additive Manufacturing: A Systematic Review,” submitted September 2, 2024 and revised that November) surveys how digital twins, virtual replicas of a machine or part used for real-time production monitoring, are being applied in additive manufacturing using machine learning, augmented reality, and simulation. **FACT:** the review names the open problems plainly: scalability, integrating high-quality data, and the computing power needed for real-time use.

Assessment: for a yard standing up metal and polymer printing, the digital twin is the quality-assurance layer that could eventually let a printed part be qualified by monitoring the process rather than destructively testing the finished piece. The review’s honest caveat, that data quality and real-time compute are unsolved, is exactly why this is a horizon capability, not a this-year one. It is a preprint survey, not peer-reviewed, so treat it as a map of the field rather than a finding.

Bottom line: Track digital twins as the emerging quality-assurance route for additive parts, and read any vendor “digital twin” pitch against the review’s unsolved list: scalability, data quality, and real-time compute.

Sources: Ahsan et al., arXiv:2409.00877 (preprint, Sep 2024)

OPERATIONS MAINTENANCE & READINESS

The maintenance bill for the Middle East comes due

FACT: per USNI News (July 14, 2026), the carrier USS Gerald R. Ford (CVN-78) is at Norfolk Naval Shipyard for its planned incremental availability

(PIA) after a nearly 11-month deployment, its first regularly scheduled availability at a public shipyard; PIAs are typically scheduled for six to eight months, though East Coast carrier schedules have been unpredictable since the pandemic (USS Eisenhower’s most recent PIA ran more than a year). **FACT:** the deployment was the longest for a US carrier since the Soviet collapse (USNI News, April 15, 2026), and Virginia senators Mark Warner and Tim Kaine wrote Secretary of the Navy John Phelan asking how the extension would affect repair work at that shipyard. **FACT:** acting Navy Secretary Hung Cao told the House Appropriations Committee that “for every 30 days that the ship is extended on deployment, it adds 6 percent of maintenance, so five months extra would add 30 percent for maintenance,” and Chief of Naval Operations Adm. Daryl Caudle said the pace of operations would force funding decisions on training and certification “in the July timeframe” (Breaking Defense, May 13, 2026). **FACT:** the same squeeze has a second face: the Navy is walking away from the roughly \$1.6 billion overhaul of the submarine USS Boise to redirect its skilled workforce to higher priorities (USNI News, April 10, 2026).

Assessment: this is the sustainment version of the workforce constraint, now quantified. A hard extension buys a roughly 30 percent bigger maintenance bill on a ship already headed for a half-year-plus yard period, all drawing on the same trades the building side is fighting to hire. The pileup is not a forecast; it is arriving at the pier.

Bottom line: Plan yard capacity for the deferred bill, not the nominal schedule; extended deployments convert into longer, costlier availabilities, and the Navy is now rationing the same skilled hands between repair and new construction in public.

Sources: USNI News, Jul 14, 2026; USNI News, Apr 15, 2026; Breaking Defense, May 13, 2026

Could the yards fix a shot-up fleet? A wargame says not yet

FACT: per Defense News (June 22, 2026), a new RAND study concludes that battle-damaged US warships could not be quickly repaired and returned to combat in a war with China: US maintenance facilities would be overwhelmed, would lack sufficient spare parts in theater, and

could not assume that Pacific allies have the shipyard capacity, or the political willingness, to fix damaged vessels. FACT: “The Navy has not faced damage at the level likely to occur in a major war since World War II,” RAND warned; the study, built on an August 2025 tabletop wargame over a Taiwan fight, focused on Arleigh Burke destroyers but says the repair problems apply across ship classes, and it recommends streamlining repair command authority, striking prior repair agreements with allies, and expanding mobile repair (deployable teams, flyaway assessment units, and Expeditionary Mobile Repair Facilities). FACT: a peacetime preview came in March, when a fire in Ford’s aft laundry spread to berthing and forced the carrier out of the Red Sea; per USNI News (July 14, 2026), Norfolk Naval Shipyard’s commander sent 43 people who rigged temporary ventilation, lighting, and power and spliced 440-volt cable over five days at sea.

Assessment: the peacetime example and the wartime warning point the same way, and they connect to this issue’s other thread. The allied-yard question is not only about building ships; it is about whether Japan and Korea would, and legally could, repair a shot-up American destroyer while the threat is escalating, which RAND says “cannot be assumed.”

Bottom line: Battle-damage repair is a capability gap, not a solved problem; the near-term moves worth watching are mobile and expeditionary repair capacity and firm allied-yard agreements, the same allied yards Congress is now fighting over for construction.

Sources: *Defense News*, Jun 22, 2026; *USNI News*, Jul 14, 2026

The reorg under the surface: PAE Maritime pulls most of NAVSEA into portfolios

FACT: per USNI News (July 20, 2026), the Navy’s new Portfolio Acquisition Executive (PAE) Maritime, led by civilian Chris Miller, reached initial operating capability per a July 16 memo, overseeing amphibious ships, aircraft carriers, surface combatants, auxiliaries, and ship readiness and sustainment through five deputy PAEs, and overseeing the three Supervisor of Shipbuilding offices at Bath Iron Works, HII Ingalls, and HII Newport News. FACT: the memo says PAE Maritime is “empowered with the authority, responsibility and accountability to

direct program outcomes... to deliver on time and under budget.” FACT: the change under the headline is large: Vice Adm. Seiko Okano told reporters in March that “about 70 percent of the functions and the workforce at our systems commands like NAVSEA will transfer to the PAEs,” and a separate PAE Industrial Operations under Vice Adm. Jim Downey (who also heads NAVSEA) will run maintenance and the public shipyards.

Assessment: for this readership the news is not that another office reached IOC, it is that the command structure over both new construction and public-yard maintenance is being rewired mid-surge, with most of NAVSEA’s people and authority moving into program-aligned portfolios. Done well it puts decisions closer to the program managers; done poorly it adds a layer during the busiest sustainment period in a generation.

Bottom line: Track where your reporting lines land as the systems-command study concludes, especially PAE Industrial Operations over the public shipyards.

Sources: *USNI News*, Jul 20, 2026

BUSINESS PRACTICES & STRATEGY

Congress splits the difference on foreign-built ships: no warships, maybe auxiliaries

FACT: per USNI News (June 16, 2026), congressional defense committees moved to slow the administration’s push to buy foreign-built warships. FACT: the Senate Armed Services Committee’s FY2027 defense-bill mark removes the Title 10 presidential waiver that lets the president cite a “national security interest” exception to buy foreign warships, while extending authority to buy auxiliary ships (tankers, bulk-fuel vessels, and roll-on/roll-off ships) from allied shipyards under the so-called “Finland model”: build up to two overseas, alongside foreign investment into US yards for the follow-on ships, only in a treaty-ally yard, and only if they would be delivered faster than they could be built at home. FACT: the House went further, with Rep. Jared Golden’s amendment (his district is near Bath Iron Works) barring any authorized funds from buying an American warship built in a foreign yard, and House appropriators blocking funds for “foreign shipyards” outright.

FACT: this follows the administration's FY2027 plan to pursue foreign frigate and destroyer designs built abroad, with a \$1.85 billion research request sitting in the separate reconciliation process lawmakers have yet to resolve, and, per Naval News (July 10, 2026), two Navy Requests for Information that drew responses from Hanwha Ocean and HD Hyundai on both the tanker and the destroyer-sized combatant, and from Samsung on the tanker only. An RFI is market research, not an order.

Assessment: the naive headline is "Korea to build US warships." The accurate story is close to the opposite. On current legislative text, the destroyer path is being closed from both chambers, while the realistic near-term opening is allied-built auxiliaries on the Finland model. For a planner, that is the signal: expect allied tanker and fuel-vessel work to move first, treat Korean-built combatants as blocked pending the House-Senate conference, and read the reconciliation fight over the \$1.85 billion as the real tell.

Bottom line: Plan for allied auxiliaries, not foreign combatants, in the near term; the RFIs are the Navy taking measurements, not placing an order.

Sources: USNI News, Jun 16, 2026; Naval News, Jul 10, 2026; Naval News, Jun 4, 2026

The administration's answer to the critics: foreign money, US yard, US ship

FACT: per USNI News (July 17, 2026), Hanwha Philly Shipyard will build a missile-range instrumentation vessel, the "Golden Defender," to support the Golden Dome missile-defense effort, based on the National Security Multi-Mission Vessel (NSMV) design Hanwha is already finishing for the Maritime Administration's training ships, with TOTE Services as vessel

construction manager; it would replace the aging missile-tracking ships SS Pacific Tracker and SS Pacific Collector. FACT: OMB Director Russ Vought used the ceremony to answer the foreign-ship debate directly: "Yes, they are foreign partners. Yes, they are direct foreign investment... But these are U.S. shipyards. These are U.S. ships, and these are U.S. jobs."

Assessment: two things to pull out. The mechanism is a commercial-derivative fast-track, reusing a training-ship hull on a live production line to field a niche capability quickly rather than starting a clean-sheet design. And the Hanwha-Philly model, foreign capital in an American yard with an American workforce, is precisely the counter to the Golden amendment, which the administration is now making on purpose. It is the domestic half of the same argument as the item above.

Bottom line: Watch the NSMV-derived approach as a template: when a commercial hull with a live production line can be adapted, the Navy moves faster than a new program, and "foreign investment in US yards" is now the administration's standard rebuttal to the build-nothing-abroad camp.

Sources: USNI News, Jul 17, 2026

The Waterfront Brief is compiled weekly by the B2 vault's research engine from NAVSEA releases, USNI News, Naval News, GAO and congressional records, defense.gov, RAND, Defense News, Breaking Defense, The Maritime Executive, NSRP, ASNE, SNAME, arXiv, and academic publishers (24 sources staged this week; 2 quarantined as stale), then synthesized and labeled by hand. Scope: US shipbuilding, US Navy sustainment, and INDOPACOM partners; out-of-area items only for a direct, stated lesson. Freshness policy: every article's anchor source is under 12 months old; anything older appears only as dated context or a flagged exception. FACT means the named source says it, not that this desk has independently verified it. Corrections welcome; the staged sources are retained for audit.

UPCOMING EVENTS

Generated from the events registry (dates and registration deadlines exactly as organizers publish them; 12-month window, print edition trims the furthest-out rows to one page).

Dates	Event	Register by	Why it matters
Jul 30, 2026	NSRP Sustainment Panel Project Roundtable, Virtual	None published	Active sustainment R&D projects in one 90-minute virtual window, zero travel
Aug 18-19, 2026	NSRP Electrical Technologies Panel Meeting, Pullman, WA (also virtual)	None published	The panel behind the fiber-optic switchboard-sensing pilot; electrical condition-monitoring tech transfer
Aug 24-25, 2026	NSRP Workforce & Compliance Panel Meeting, Pensacola, FL	In-person closes Aug 13, 2026	Cross-yard workforce practices against the Navy's 250,000-hire target, directly relevant to this issue's Deckplate item
Sep 22-24, 2026	Fleet Maintenance & Modernization Symposium (FMMS) 2026, Virginia Beach, VA	Early bird thru Aug 16, 2026	The flagship fleet-maintenance event for exactly this readership
Sep 29 - Oct 2, 2026	SCA Fall Membership Meeting 2026, Washington, DC	Members only	The surface-repair industrial base's Hill-and-Navy engagement window, timely given the foreign-build fight
Oct 28-29, 2026	Arctic Operations Symposium 2026, Baltimore, MD (ASNE)	Not published yet	Cold-region sustainment, hull and machinery readiness
Nov 16-17, 2026	Navy Procurement Outlook Summit, Reston, VA (Defense Leadership Forum)	Eventbrite open; no deadline published	Shipbuilding-plan and VCM-era procurement priorities, with contracting-officer access
Dec 7-9, 2026	TSS/CSS Symposium, Arlington, VA (ASNE)	Not published yet	Technology, systems and ships exchange near the NAVSEA customer
Jan 26-28, 2027	Military Additive Manufacturing Summit (MILAM), Tampa, FL	Tiers: Jul 31 / Oct 2 / Dec 4; closes Jan 22	Metal/polymer print qualification and NAVSEA-spec adoption
Mar 23-25, 2027	NSRP All Panel Meeting 2027	"Coming soon" per NSRP	Where yard R&D ideas get socialized and teamed program-wide
Jun 7-9, 2027	MegaRust 2027, Hampton, VA (ASNE)	Not open yet per ASNE	The Navy corrosion event; preservation is a top waterfront cost driver